

What is the agricultural levy system?

The Australian agricultural levy system is a partnership between agricultural, fisheries and forestry industries and the Australian Government – working together to grow a stronger, more productive and sustainable future.

Watch the following animation for an overview of the Australian levy system:

Agricultural levy system animated explainer video

(Duration 2min 30sec)

Introduction

This is the accessible text transcript of an animated video explaining the Australian Agricultural levy system.

Transcript

[Video begins]

00:00 [text on screen] Australian Agricultural Levy system: Government-Industry partnership.

00:03: [voiceover begins]

The Australian agricultural levy system is a unique partnership between the Australian Government and our agricultural, fisheries, and forestry industries – working together to grow a stronger, more productive and sustainable future.

So, what exactly is an agricultural levy?

When farmers, fishers, or foresters sell, process or export their products, a small amount is set aside. This is a levy. Levies are generally collected through collection agents who submit them to the Department of Agriculture, Fisheries and Forestry.

The department then passes on the collected levies to Research and Development Corporations, Animal Health Australia, Plant Health Australia, and the National Residue Survey within the Department.

They invest levies on behalf of industries in one or more of five key areas:

Research and Development, to drive innovation and increase productivity,

Marketing, to boost demand locally and overseas,

Biosecurity activities, to protect against pests and diseases,

Biosecurity responses, to act quickly when incursions occur,

And Residue Testing, to demonstrate our products are safe, which facilitates access to domestic and export markets.

But here's the important part: levies are generally industry-led.

Farmers, fishers, and foresters decide if they want a levy, how much it should be, who contributes, and which of the five key areas it is for.

Once there's agreement, the levy proposal goes to the Government, and if approved, it is made official by passing legislation. That locks it in, so the funds can't be used for anything else.

These levies fund projects that benefit all producers of an industry. Benefits include new technologies and practices, stronger market access, or large-scale biosecurity efforts.

But there's more. The Australian Government matches industry investment in research and development up to 0.5% of the industry's gross value of production, supercharging the investment in innovation.

That collective investment in research and development builds more productive and resilient industries and benefits the wider Australian community.

Every levy is different. To find out more about individual levies, the levy system and how they support our agricultural, fisheries and forestry industries and the Australian community, visit agriculture.gov.au.

02:30 [Video ends]

At the request of industry, the Australian Government imposes levies and charges (levies), which are types of taxes, on agricultural, fisheries and forestry products to fund:

- research and development (R&D)
- marketing
- biosecurity activities
- biosecurity responses
- residue testing.

Generally, industries decide whether they want a levy, for which purposes, how it will be imposed and collected and what the rate would be.

Before submitting a levy proposal to the Minister for Agriculture, Fisheries and Forestry, industry consults with those that would be affected by a new or changed levy. If agreed by the Minister, we progress the proposal through the parliamentary process to become law.

We provide [guidance](#) to industries interested in setting up or changing a levy.

Levy payers include growers, owners, processors, importers and exporters of the levied products. They pay levies directly or through collection agents to us.

Collection agents are not levy payers but pay an amount equal to the levy on behalf of levy payers. Collection agents are businesses in the supply chain that deal with most, if not all, leviable products such as selling agents, processors or exporters.

We collect levies and disburse them to the relevant levy recipients. We recover the cost of administrative activities, including compliance activities from levy recipients.

Levy recipients invest levies in the activities for which they were imposed:

- 15 [research and development corporations \(RDCs\)](#) invest in R&D and marketing
- [Animal Health Australia \(AHA\)](#) and [Plant Health Australia \(PHA\)](#) fund biosecurity activities and biosecurity responses
- The [National Residue Survey](#) program (NRS) funds residue testing.

Without this arrangement most individual businesses could not invest effectively in these important activities.

The Australian Government also matches 50% of most RDC's eligible R&D expenditure up to their gross value of production (GVP) limit. Matching arrangements differ for some bodies (for example Fisheries Research and Development Corporation), check the relevant legislation for full details.

We determine the GVP limit at the beginning of each financial year as 0.5% of an industry's average GVP. The average GVP is based on GVP data for the last 3 years provided by the [Australian Bureau of Agricultural and Resource Economics and Sciences](#) (ABARES).

There are currently more than 110 levies and charges imposed on more than 70 products across the agriculture, fisheries, and forestry sectors.

Every levy and charge is different. For more information visit our [levy and export charge rate page](#).

Benefits of the agricultural levy system

The agricultural levy system enables industries to collectively invest in research and development, marketing, biosecurity activities, biosecurity responses and residue testing.

In 2024-25 over \$1 billion was disbursed to levy recipients delivering benefits to individual farmers, fishers and foresters and the wider Australian community.

Research and development

Investment by the 15 RDCs in R&D helps drive agricultural innovation and increase productivity.

See more on [RDCs and agricultural R&D investment in Australia](#).

Marketing

Investment by the 15 RDCs in marketing, advertising and promotion boost local and international demand for Australian agricultural products.

Biosecurity activities

Investment in biosecurity activities protects agricultural industries against pests and diseases.

AHA and PHA partner with government and industry to enhance animal and plant health. This work includes preparedness, prevention, emergency response and management.

Biosecurity responses

Investment in biosecurity responses enables emergency responses to exotic plant pest or animal disease incursions.

AHA and PHA deliver these responses under the:

The EPPRD and the EADRA outline the responsibilities and activities of government and industry signatories in the event of an incursion.

Residue testing

The NRS program in the department funds residue testing to help demonstrate products are safe and meet requirements of countries that import Australian agricultural products.

Agricultural levies legislation

The agricultural levies legislative framework enables the agricultural levy system to operate by:

- imposing levies and charges under the:
- collecting levies and charges under the [Primary Industries Levies and Charges Collection Act 2024](#).
- disbursing levies and charges and making matching payments under the [Primary Industries Levies and Charges Disbursement Act 2024](#).

The operational provisions are provided for in legislative instruments under these Acts. This includes, for example, levy rates, exemptions, return due dates, record keeping requirements:

Legislative arrangements for the fishing industry are different. Levies and charges on farmed prawns are imposed, collected and disbursed under the agricultural levies legislation. A levy imposed under the [Fishing Levy Act 1991](#) is in part disbursed under the agricultural levies legislation for investment in R&D.

Recent changes

We recently modernised the agricultural levies legislative framework.

The new legislative framework commenced on 1 January 2025.

Drafting of the legislation was informed by extensive consultation with stakeholders. This included industry representative bodies, levy payers, collection agents, RDCs, AHA and PHA, and other stakeholders.

In 2023 and 2024 we released the drafts of the legislation, regulations and rules for public consultation.

Details of the consultation process are still available on our [Have Your Say webpage](#).

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/levies/about-levies>